Kerali CONSTRUCTION COMPANY LTD

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LABOUR CONTRACT

THIS AGREEMENT (herein called "Contract") is made on **24/06/2025** between

…… of
Identification No.
……..
(Hereinafter referred to as "Client")

And

KERALI COMPANY LIMITED of Registration No. **PVT-EYUB9K78** having its registered office at Kimnai Plaza, Eastern Bypass, and Embakasi (hereinafter referred to as "the Main Contractor") which expression shall include its successors in title and lawful assignees on the other part.

WHEREAS

The parties in this Agreement wish to deal with construction services and other matters on the terms set out below.

1. SCOPE OF WORK

The Main Contractor shall fully execute all labour works as agreed in the Contract Clause (2).
The scope of work includes; Provision of labour for all works including; Construction of Reinforced Concrete Frame structure which forms a shell of the residential building. First stage involves excavations and setting out for substructure works. Thereafter, Reinforced concrete superstructure is done with structural works supervision to ensure safety and stability of the skeletal structure. This stage also provides for plumbing, drainage and electrical conduits. Finally, walling is done to achieve space separation and functionality of the building.

The parties shall enter into a contract which shall be the Project Specific Contract (described herein).

2. PROJECT DESCRIPTION

The Main Contractor undertakes to ensure adherence to standard drawing inspections and team design meetings to ensure construction works are according to recommended specifications as per the Approved Project Documents and the Construction Contract Terms and Conditions (General Contract) for the project described herein:

Project Name: ***PROPOSED RESIDENTIAL WORKS***

Project Location: ***KITENGELA AREA, KAJIADO COUNTY***

L.R. Number:

Project Details: The work in this contract comprises: Full labour provision for construction and completion of works including substructures, reinforced concrete frame superstructure and walling works.

Work Inspections shall be conducted by the Client or Agents appointed to represent the former, to ensure adherence to workmanship and quality standards. The Main Contractor shall be represented by Project Managers assigned to the project. Work Inspections shall be conducted after completion of each milestone and approval by done by Client or Project Managers or agents thereof.

In cases of non-compliance, the Main Contractor will be required to submit approval agents and frequency of meetings and inspections maintained duly in record, which shall be required on demand basis.

3. DURATION OF THE PROJECT

The project's commencement date shall be **23rd June 2025** and its duration shall be a maximum of **3 (Three) Month** as per the agreed project timelines provided by the Main Contractor.

4. DELAY LIQUIDATED DAMAGES

If the Main Contractor neglects, fails, or refuses to complete the works within the time provided for under clause 3 [Commencement Date and Duration of the Project], the Main Contractor shall pay delay liquidated damages to the Client for this default. These delay damages shall be determined both by the Client and Main Contractor for the affected project and shall be reasonable and agreeable to both parties.

5. PAYMENT TERMS

Full payment for the labour works shall be per the Main Contractor's Project Quotations and Invoices prepared and submitted by the Main Contractor attached herewith totaling to **KES 1,437,018.00** (Kenya Shillings One Million Four Hundred and Thirty Seven Thousand and Eighteen Only).

NOTE: The Client is to provide for all Materials & Tools inclusive for all works. This is because the contract has been awarded as a Quotation rather than Bills of Quantities (BoQ) which provides for item rates all inclusive of Material, Labour, Tools & Equipment and Profit & Overheads.

6. COMPLETION AND HAND OVER

The Works shall be deemed complete after it complies in all respects with the Design drawings, Main Contractor has completed all punch list items, provided the Client with all required record documents, has completed all acts necessary to allow the Client to obtain Construction permits as a result of the Work. The Client has conducted an inspection of works (Frame) within **1 week** after submission and shall issue a notice of satisfaction with the state of works.

Payment for the construction works shall be done according to set and agreed Milestones as follows:

i. First payment of **70%** of the Milestone sum as stated above before the commencement of works.

ii. Thereafter, Second payment of **30%** of the Milestone sum shall be made for payments of works done after 100% completion & approval of Milestone works.

Payment Breakdown (Milestones) in KES:
Substructure: **476,206.50**
RC Superstructure: **599,082.00**
Walling: **274,065.00**
Plumbing & Drainage: **64,564.50**
Electrical Fittings: **23,100.00**
Totals: **1,437,018.00**

Payments will be served using invoices to detail amount owed to the Contractor.

Mode of Payment
Bank Details
PAYMENT METHODS: SWIFT CODE: BARCKENX
ACCOUNT NAME: KERALI COMPANY LIMITED
ACCOUNT NO: 2048488733
BRANCH: YAYA CENTRE ABSA BANK

Payment disputes arising from quality of works (Design defects) shall be solved through ensuring that Correction of works is done prior to milestone payments by the Client. This correction shall however, only be limited to As-Built Drawings. Any changes, proposed by the Client or agents thereof, not in accordance to As-Built Drawings, shall be grounds for Variations.

7. CORRECTION OF WORK

At the Client's order or approved agents to the Client, the Main Contractor shall, at the Main Contractor's expense, promptly correct or replace all work rejected by the Client as "design flaws", whether observed before or after substantial completion.
The Defects Liability Period (DLP) shall be a maximum of **3 months** within which corrections for works shall be carried out by the Main Contractor, if any, at the cost of the Contractor.

8. ANY VARIATIONS OF THE PROJECT

i. Any proposed variation by the Main Contractor shall be communicated through writing to the Client to justify any variation, before or after commencement of works.

ii. Variation costs shall be calculated based on current market rates as opposed to contractual rates.

iii. In case the variation is not agreeable to both parties, it will be subject to Delay of Works until the matter is settled and agreeable to Client before continuation of works.

iv. Variations arising from the Client as a result of changes to As-Built Drawings to suit taste and preferences, the Client shall be fully liable as costing for additional works. Such works shall only proceed after agreement with the Client to bear the costs either immediately or paid as extra amounts on top the contract sum.

9. DOCUMENTS

The works of this contract shall be provided in accordance with and based on the Main Contractor's contract terms and conditions (referred to as "the general contract") and the following project attachments:

i. Project Drawings

ii. Project Invoices & Quotations

10. TERMINATION

Without prejudice to any other rights and remedies which the Contractor may possess, if:

subject to the provisions of clauses 16.2 and 34, the Contractor does not receive a payment certificate which he applied for in accordance with these Conditions within fourteen (14) days of the application and the default continues for twenty one (21) days after receipt of the notice of suspension of the Works under sub-clause 29.2 by the Client; or

subject to the provisions of sub-clauses 16.2 and 34.10, the Client does not pay to the Contractor the amount due on any certificate within the period for honoring certificates named in clause 34.5 of these Conditions and continues such default for thirty (30) days after receipt of the notice of suspension of the Works under clause 29.2 by the Client; or

the Contractor does not receive an advance payment in accordance with sub-clause 34.1 of these Conditions within sixty (60) days from the due date; or

The carrying out of the Works by the Contractor shall cease forthwith and the Contractor shall, within sixty (60) days of such termination or such other period as may be agreed between the Client and the Contractor, vacate the Site thereby relinquishing possession thereof and the responsibility and care of the Works shall henceforth pass to the Client. The Contractor shall notify the Client in writing the date by which he intends to stop works within the said sixty (60) days or such other period as may be agreed between the Client and the Contractor.

11. DISPUTE RESOLUTION MECHANISM

AMICABLE SETTLEMENT

The arbitration of a Dispute shall not commence unless an attempt has in the first instance been made by the parties to settle such dispute amicably with or without the assistance of third parties.

The Parties shall conclude the amicable settlement of the dispute within thirty (30) days of commencement of such a process.

An amicable settlement shall be reduced into writing.

ARBITRATION

Reference to arbitration for the Disputes set out in sub-clause 45.3.4 shall be conducted in accordance with the following provisions:

- Any party may issue the other party with an arbitration event notice (the "Arbitration Event Notice") within fourteen (14) days from the date the party became aware or should have become aware of the event or circumstance giving rise to the Arbitration Event;
- The tribunal shall consist of one suitably qualified arbitrator appointed by agreement in writing by the parties within the following period (the "Parties' Appointment Period"):
  The tribunal shall consist of one suitably qualified arbitrator appointed by agreement in writing by the parties within the following period (the "Parties' Appointment Period"):
  Seven (7) days of issuance and receipt of the Arbitration Event Notice if the Arbitration Event Notice was issued after the Actual Date of Practical Completion or termination of the Contract by either party.
- **The governing law shall be Kenyan law.**

For and on behalf of Client

Name:
……

Title:
……

Sign:
……

Date:
……

For and on behalf of Kerali Company Limited

Name:
……

Title:
……

Sign:
……

Date:
……